

TCPC pitch deck

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PITCH — TCPC — VERDICT

ADJUDICATED 2026-08-17 — KILL — flat, no position, and the binding reason is that we cannot trade the size, not that the marks are wrong.

What we believe

BlackRock TCP Capital (TCPC, \$4.06, ~\$340M market cap) is a business development company — a listed fund that lends to mid-sized private companies. On August 4, 2026 it sold 78 of its 134 loans into a new vehicle bought 95% by Pantheon for ~\$152M gross, and used the proceeds to pay down debt. The filed pro-forma balance sheet at 6/30/26 shows investments of \$778.6M, debt of \$318.9M and net assets of \$494.9M — about \$5.90 of book value per share against a \$4.06 stock ([EX-99.1, 8-K filed 2026-08-06](#)).

We came in believing the stock was cheap because the loans were marked *conservatively* — that management was writing things down harder than peers, so book value was, if anything, understated. Several supporting facts held up under attack and were never contradicted: TCPC carries its non-performing loans at roughly 19 cents on the dollar where FSK carries similar exposure near 48 cents and MFIC near 55 cents; its incentive fee hurdle has not been met since 2013, so the manager currently accrues no performance fee; its payment-in-kind income (interest paid in more debt rather than cash — usually a sign of stress being deferred) fell 48% while peers' rose; and it carries the disputed Kellermeyer loan at 7.2 cents while FSK carries the same credit at 98.4 cents and still accrues interest on it.

What we now believe, after the court: none of that is enough to own the stock. The remaining, defensible case is a 17–31% discount to a genuinely de-levered balance sheet, a dividend covered roughly 80–92%, and a ceiling of about +45%. That is a good outcome, not an exceptional one — and the stock trades \$1.34M a day. Under our own rule of never being more than 1% of daily volume in a name we publish on, that is about \$13,000 a day of participation. A position we cannot build and cannot exit is not a position, however right the analysis. **Flat.**

What the market believes

The market believes this is a shrinking, externally-managed credit fund with a dividend that is going to be cut again, and prices it accordingly. Sell-side consensus is **Sell** with a \$4.33 target — sixteen analysts cover the BDC space and this is not an orphan security. The stock is 44% below its 52-week high but

already 31% off its low, having risen roughly 10% on the deal announcement, so the market has already re-rated *once* on the news we were reacting to.

The marginal holder is a yield buyer: a 16.7% headline yield on a \$0.17 quarterly dividend is one of the most-scanned screens in retail income investing. Book value per share has fallen from \$9.18 to \$6.58 over five quarters. The market's view, plainly stated, is: the discount is compensation for a book that keeps shrinking and a manager who keeps cutting.

Why we might have edge

Three things a screen does not see:

1. **The balance sheet is genuinely fixed, and the fix is very recent.** Before the sale, asset coverage was 160.6% against a 150% regulatory floor — about 6.6% of further markdown before the company would have breached. After the sale it is 255%. That is a different company, and the pro-forma statement showing it was filed only on August 6.
2. **The buyback silence was a legal constraint, not disinterest.** TCPC repurchased only \$2.87M of a \$50M authorization in the first half. Both benches initially read that as a board unwilling to back its own discount. It is better explained mechanically: buying back stock shrinks net assets, which is the numerator of the coverage ratio, and with only 6.6% of room the board could not spend meaningfully. That constraint lifted on August 4. Q3 repurchase pace is therefore the first buyback number that carries any information at all.
3. **The mark-integrity evidence.** If the 19-cent non-accrual carrying, the zero incentive fee since 2013, and the 48% PIK decline mean what they appear to mean, this manager recognises losses earlier than the cohort — which would make its remaining book more trustworthy than peers', not less.

Why it might be priced in

- **Consensus is Sell at \$4.33, above the tape.** Nobody is missing this; the Street simply thinks it is worth roughly what it costs.
- **The discount is normal for what this is.** A sub-scale, externally-managed BDC in run-off-adjacent posture trading at 0.69x reported book is not an anomaly. Adjust book down even modestly for what a liquidation actually costs and the discount lands at 17%, which is unremarkable.
- **The dividend is under-earned.** Rebuilding earnings off the filed pro-forma asset base at the realized yield gives about \$0.155/share against a \$0.17 dividend — roughly 91%. It is a trim, not a break, but it is a trim, and the shareholder base is there for the payout.
- **The markdown may not be finished.** Book value has fallen for five straight quarters. Buying into a decline that is still in progress means bidding against the seller who is still selling.
- **There is no date on anything.** The company's own language on the strategic-alternatives process is "no specific timetable."

What we checked ourselves

Claim	How checked	Found	Confirmed?
Pantheon's purchase price validates management's marks at ~0.9x while the tape pays 0.69x — the whole reason the court was convened	Read the filed pro-forma adjustment: – \$57,144,960 against \$511,904,274 of transferred carrying value = –11.16%	Neither confirmed nor refuted — the anchor is too weak to settle it either way. Both tests we set came back against the bearish reading	NO — UNRESOLVED
Red bench: “the buyer paid 88.8 cents, so management's marks are 11% high book-wide”	Footnote 3 of the same exhibit	Footnote 3 states the cash adjustment “includes estimated seller and transaction expenses” — the –\$57.1M is loss plus fees, not price alone	RED BENCH ERROR — red's own “what would change my mind” #4 raised exactly this point, and its brief then denied it
Red bench: the 11% haircut can be extrapolated onto the retained loans	Compared the sold strip to the retained book	The sold strip is the small-position tail: 78 loans averaging \$6.7M versus \$13.9M retained. A tail is not a sample	RED BENCH ERROR — extrapolation unsupported
Red bench: the sale was struck on a 12/31/25 mark, so correct it by the ~7% fall in book value per share	Recomputed at the asset level	Book value per share fell 6.9% in H1, but that is levered 2.4x. Filed depreciation was \$48.3M on ~\$1.32B of average investments = –3.7% at the asset level . So 95% of the 12/31/25 mark is ~98.7% of 6/30/26 carry — implying ~\$7M of loss, not \$57M	RED BENCH ERROR — a levered book-value move was mistaken for a mark move
Red bench: the post-deal book is \$778.6M, so the brief's dividend table is “arithmetically dead”	Rebuilt earnings on <i>both</i> denominators	\$778.6M gives ~\$0.157/share; \$671M with debt scaled down gives ~\$0.155/share — because a smaller book also carries less debt. Nearly identical. Red's conclusion (under-earned, not broken) is right; its framing that the denominator drove the disagreement is wrong. The original error was expense modelling	RED CONCLUSION SUSTAINED, RED REASONING OVERTURNED
Red bench: the marketed 0.4x leverage is inconsistent with the filed 0.64x	Compared dates	Different dates, both disclosed: 0.64x is the 6/30 snapshot, 0.4x is explicitly conditioned on named post-quarter repayments. A timing difference, not a disclosure problem	RED BENCH ERROR — downgraded from a flagged inconsistency to a footnote
Does the transaction exhibit itself resolve the price-versus-fees split?	Pulled the 8-K exhibit index	Only EX-99.1/99.2/99.3 exist; there is no transaction agreement filed. Red was right on the fact, wrong that the aggregate number resolves the split — footnote 3 shows it does not	Fact CONFIRMED, consequence OVERTURNED
Do the transaction's sources and uses tie?	Blue bench reconciled the pro-forma	They do not. Debt falls \$591.6M against \$152M of gross proceeds and a \$141M decline in cash. Nobody can state what the buyer actually paid until this reconciles	NO — and this is the finding that blocks both the bull and the bear case. Red missed it entirely

Claim	How checked	Found	Confirmed?
Our own input: asset coverage is 160.3% and a ~6.75% markdown breaches the covenant — “the tightest cushion in the cohort”	Court checked the post-sale balance sheet	That was the 6/30/26 balance sheet. Post-sale coverage is 255%. The leverage risk we named as the killer no longer exists — the transaction removed it	OUR OWN ERROR, as adjudicator. Recorded because we supplied the bad input to the bench
Red: repurchases at 0.57x book / \$3.78, “damning”	Filed equity note	Actual: 661,803 shares, \$2,871,849, weighted average \$4.34 , six months — which is <i>above</i> today’s price. The brief had paired a quarterly share count with a semiannual dollar figure, implying \$18.55/share	BRIEF ERROR, red correct. The token-space observation survives; the arithmetic supporting it did not
Retained portfolio is 132 companies	134 total less 78 sold	56 retained , averaging \$13.9M — 2.8% of net assets each. The book is <i>more</i> concentrated after the deal, not just smaller	BRIEF ERROR, red correct
The cohort loss-recognition ladder (TCPC 19.4c ... FSK 47.9c ... MFIC 55.1c) measures marking discipline	Re-examined the next day in the OBDC court	The ladder does not measure discipline. It is dominated by concentration and timing — <i>when</i> a manager’s worst credit blew up. 79% of OBDC’s entire quarterly unrealized loss was one second-lien position; excluding it, OBDC computes 38.7c rather than 29.5c. A recent blow-up reads harsh, an old one already at zero reads soft, at identical discipline	INVALIDATED AFTER THIS COURT CLOSED. TCPC’s 19.4c is still a real number, but it may not be used to rank TCPC against peers until recomputed excluding each manager’s largest name. This was load-bearing in our framing and is now withdrawn
Can we run our own cross-manager mark reconciliation to settle the retained-book question?	Checked the tool inventory	The <code>bdc_mark_dispersion</code> tool exists and was not run on TCPC . It is the one check that could resolve the mark question without waiting for the November filing	NOT DONE — our gap, both benches flagged it
Is there any physical-world data on this issuer?	Ran the full connector library	Every satellite, permit, customs, hiring and app-review connector is structurally blind to a lender with no physical footprint. Only asset is a leased Santa Monica office	CONFIRMED inapplicable — worth recording as a library-level limitation, not a finding about TCPC

PROPOSED ENTRY BANDS

No entry at any price today. Size zero. This is not a valuation call — at \$4.06 the stock is plausibly 17–31% below a defensible book value. It is a capacity call: \$1.34M of daily volume permits roughly \$13,000/day of participation at our own trading limits, against a catalyst with no date. We would spend months building a position we could not exit.

Reopen gates, reproduced exactly as adjudicated:

- Q3 10-Q ONLY, and BOTH: (i) retained-book depreciation < 3% AND (ii) Q3 repurchases >= \$10M now that coverage permits them.
- SOURCES-AND-USES RECONCILIATION (8-K/A or the Q3 10-Q): debt -\$591.6M vs \$152M gross proceeds and a \$141M cash decline do not tie. No clearing price is stateable until it does — this is the finding that blocks BOTH the bull and the bear case, and it is now the PRIMARY reason for FLAT.
- A DATED catalyst. ‘No specific timetable’ on the bankers’ process is not one, and the markdown may not be finished (NAV 9.18->6.58 over five quarters) — value-ladder flow gate: do not bid into a markdown still in progress.
- The mark-integrity legs (19.4c recognition, zero incentive fee since 2013, PIK -48%) are RETAINED AS COHORT SCREENING KNOWLEDGE, not a TCPC entry case.

In plain terms: we look again only when the next quarterly report shows the loans they kept have *not* been written down much, when the company has actually bought back a meaningful amount of its own stock now that it legally can, when the \$591.6M/\$152M gap is explained, and when someone puts a date on the strategic process. All four, not any one. And even then, the size constraint has to be re-argued separately — a reopened thesis does not automatically become an ownable position.

Reference levels for context, not entry: - Pro-forma book value: **\$5.90/share** (net assets \$494,861,867 ÷ 83,902,775 shares) - Book value if the bearish 11.16% haircut were right: **\$4.86/share** - Honest range for mark-adjusted book: **\$4.86 – \$5.90**. Current price \$4.06 = 17–31% discount, +20% to +45% of upside - Company’s own average repurchase price: **\$4.34** — above today’s tape - Dividend \$0.17/quarter, covered 80–92%; expected outcome is a trim to roughly **\$0.15**, not a suspension - Consensus: **Sell, \$4.33 target**

Catalyst dates: Q3 report expected **2026-11-05** — derived from a data vendor, **not confirmed by any company announcement**. The decisive filing already happened on 2026-08-06. The strategic-alternatives process has no announced date.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.08 (deck-provisional: A fresh 52-week low says the five-quarter markdown is still in progress — confirms do-not-bid, not an)
- filing watch: 8-K/A,10-Q until 2027-02-13 (deck-provisional: Sources-and-uses reconciliation: debt -\$591.6M vs \$152M gross proceeds and a \$141M cash decline do not)
- dated pack TCPC|2026-11-05: TCPC: Q3 2026 results — the only filing that can reopen this name; yfinance-derived, no company PR names it (date confirmed=False)

What remains unverified

- **What Pantheon actually paid.** Unresolvable from filed documents. The −\$57.1M line mixes loss and transaction expenses by the filing's own footnote, and the sources and uses do not reconcile. Our original thesis — that the marks are wrong in our favour — is neither confirmed nor refuted. We should say that plainly rather than claim a win or concede a loss.
- **How the 56 retained loans are marked.** Disclosed non-accruals (7.4% at cost, 1.6% at fair value) are consolidated *pre-transaction* only. The retained-book split is not disclosed anywhere. Only the Q3 Schedule of Investments closes this.
- **Whether the write-downs are finished.** Five consecutive quarters of decline, and nothing in the filings says the cycle has turned.
- **The retained portfolio's concentration risk.** 56 loans at 2.8% of net assets each means a single default costs roughly three times what it did in the 134-name book. We have no names to test.
- **Run-rate earnings.** The company filed a pro-forma balance sheet showing a 40% reduction in earning assets and a pro-forma income statement with every line adjusted by \$0. No filed document states what this company now earns. Every coverage number in this deck — ours, red's, blue's — is a reconstruction.
- **Whether the mark-integrity evidence means what we thought.** The individual facts (19c non-accrual carrying, no incentive fee since 2013, PIK down 48%, Kellermeyer at 7.2c vs FSK's 98.4c) were never contradicted. But the framework we used to rank them against peers was invalidated the next day. Treat these as screening inputs to be re-derived, not as a conclusion.
- **Whether this is ever ownable at our size.** Even if every reopen gate clears, \$1.34M of daily volume does not change. That is the constraint that actually decided this, and no filing will fix it.

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